

RISK MANAGEMENT

Stock investing is characterized by a strong risk-return correlation. High risks mean greater returns and vice versa. Risk management is the act of identifying and assessing the potential risk and developing strategies to minimize these and earn maximum possible returns.

Risk Management Strategies

- **Following Market Trends:**

Many investors believe that investing against the market trends can yield them higher returns. However, following the trend is one of the most important to mitigate investment risk. The difficulty in this strategy is being able to identify the trend because the markets are dynamic and constantly changing. Being able to spot the short-term trends within the longer duration is a difficult task.

- **Diversifying Investment Portfolio:**

The Indian stock market provides investors several financial products, such as equities, bonds, derivatives, and mutual funds. Investors can opt for more than one of these financial instruments to diversify their portfolios. Further diversification can be achieved by including financial products offered by different companies belonging to distinct sectors. This protects the overall returns from the investments from market fluctuations and if a specific sector or company moves in an unfavourable way, the other investments in the portfolio can achieve the balance within the investors' portfolios.

- **Being Patient and Avoiding Quick Decisions:**

Several investors make quick and hasty decisions with every small movement in the price of their investments. Moreover, another **stock market tip** that investors forget to adhere to is taking the time to do their research and due diligence before making their decisions. Determining the financial objectives prior to investing and focusing on both short-term as well as long-term objectives will help investors enjoy maximum returns on their stock market investments.

- **Planning the Trades:**

Planning and developing the strategy helps win wars. This is true for investing in the Indian stock market too. Pre-planning can make all the difference between success and failure through stock investing. Using stop-loss and take-profit points are useful instruments in planning the trades. Successful investors pre-determine the entry and exit price levels to calculate the possible returns against the potential of the shares hitting these price levels. On the other hand, unsuccessful traders make investments without considering the prices at which they will buy and sell the financial instruments. They often trade with emotions; they continue holding on to their positions even when the price decreases, in the hope of a turnaround, and fail to book profits when the price rises with the greed of making higher profits.

- **Stop-Loss:**

This is the lowest price that the investor is willing to sell and prevent further loss. Setting a stop-loss point is useful when the market does not move as per the investor expectations. It is beneficial in preventing the 'price will come back' mentality and limiting the loss on the investment.

- **Take-Profit:**

This is the price at which the investor is willing to sell his investment and book profits. This point is beneficial to reduce the risks when the possibility of further price increase is huge. Booking profits on stocks that are nearing their resistance levels after large gains ensures that investors sell these before consolidation occurs and prices begin to decrease.

The stock market is risky and smart investors take advantage of risk management strategies to mitigate it. Careful and timely use of various risk mitigation tools ensures investors can maximize profits through stock investing.

Types of risks

Systematic risks

As the term makes it obvious, a systematic risk refers to the chances of a generalised downturn across categories or sectors of equity. These developments are often sudden and unpredictable. They could include an adverse political scenario, an economic crisis (for instance, an economic recession) or social unrest. The market reacts with panic after the development breaks, because often there's little clarity at the beginning. Prices take time to settle until after details come out and the scope of the systemic changes become clear.

Though these events are mostly unpredictable and might seem to occur sporadically, an intelligent investor who stays up-to-date about the wider scheme of things will often find cues on what to expect and can enforce countermeasures such as selling off short term equity holdings. One might even be able to profit by taking short positions on stocks. The best defence against a systematic downturn that lasts long is diversification of investment in assets which thrive when the markets don't perform well, such as gold, physical assets like real estate and government securities/credible bonds.

Unsystematic risks

For example, a company might fail to perform well, reach objectives, projected earnings etc. These risks can be foreseen in most cases from an analysis of a company's historical performance, earning reports and records of asset holdings and outstanding debt, vision for expansion and projections of future prospects. Thus, a fundamental analysis [What is Fundamental Analysis and how to do it?] helps investors to assess the risks of investing in a particular stock or a class of stocks, thereby enabling one to settle on the best bets.

Again, it's good practice to diversify across different classes of stocks to mitigate risk in the event that an unforeseen occurrence impacts a particular stock or a group of related stocks.

Short term trading

Short term trading is fraught with much more volatility and risks than long term investments. Short term price movements of a stock are independent of a company's underlying fundamentals most of the time. The price fluctuates based on the demand supply dynamic and is also very sensitive to external developments, such as news that could impact the company's prospects. The price often fluctuates between set levels, with the baseline

called a support and the ceiling, a resistance. Demand goes up when the stock is near its support and selling increases near a resistance as traders anticipate prices to stay within the limits and trade accordingly. These levels are breached when investors demand or sell a greater number/volume of stocks than is normally traded in reaction to news that could have a bearing on the company's prospects. The stock then settles in a different price range with a new resistance and support. Thus, there are multiple resistance and support levels across price ranges.

Understanding support and resistance

Short term trading without a risk management strategy is bound to end in disaster. Every trader must understand the concept of supports and resistances and must be able to identify these price limits based on:

- **Historical trends:** which allow for observation of supports which have held up prices and resistances which contain prices from going up beyond a certain level.

- **Moving averages:** a convenient tool used in technical analysis wherein multiple day price averages are used to identify supports and resistances.

- **Candlestick chart:** daily price movements are represented as bars resembling candles and the patterns help to predict price movements and also identify supports/resistances.
- **Round numbers** (a lot of supports/resistances are usually square figures as 10, 50 or 100, in part due to investor psychology and partly because financial institutions usually trade in prices that are whole numbers and not decimals)
- **Fibonacci retracement tool:** A popular tool for identifying strategic places for transactions to be placed, target prices or stop losses.

After determining support-resistance levels, traders can decide when to sell their holdings, either to make a profit before a likely downtrend, or to cut

losses at the start of a likely protracted fall in prices. Similarly, stocks can be bought at near support prices while limiting bids at higher prices near the resistance level. The short term trader also has to be mentally agile enough to accommodate new developments and modify trades based on the weight of breaking news. Further, large institutional traders often use automated algorithms which manipulate or distort market trends, making short term trading even more risky. One can also watch out for rallies (a consistent up or downtrend over a reasonable period of time, usually a few days or weeks) to make short term trades with a relatively lesser degree of risk.

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SUPPORT

It is the price level or baseline after which it is extremely difficult for a stock price to fall.

RESISTANCE

It is the price level after which it is highly unlikely that a stock price will rise further.

A trader must be able to identify these price limits based on -

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MOVING AVERAGES - A convenient tool used in technical analysis wherein multiple day price averages are used to identify supports and resistances.

CANDLESTICK CHART - Daily price movements are represented as bars resembling candles and the patterns help to predict price movements and also identify supports/resistances.

ROUND NUMBERS - (a lot of supports/resistances are usually square figures as 10, 50 or 100, in part due to investor psychology and partly because financial institutions usually trade in prices that are whole numbers and not decimals)

FIBONACCI RETRACEMENT TOOL - A popular tool for identifying strategic places for transactions to be placed, target prices or stop losses.

Functions of risk management

- Enables investors to identify the best investment options in the market offering higher likelihood of great returns relative to risk.
- Reduces risk of incurring losses significantly by means of diversification across stock classes and different asset categories.
- Informs trading strategy, that is, determination of prices at which to buy or sell.

Though risk management practices can never reduce the risk to zero (in fact, risk is never non-existent with anything), proper planning can significantly cut down risks and considerably boost the chances of profiting off investments. All it requires is effort and willingness to learn on the part of the investor.

Wrapping up

- Adoption of risk management practices is absolutely essential to reduce the risk of incurring losses on investments.
- Systematic risks, which are risks threatening the whole market, can be hedged by investments in alternative asset classes.
- Stock specific risks can be reduced by proper fundamental analysis and scrutiny of stocks before investing.
- Short term trading is more risky than long term investments and thus traders need to be much more cautious and vigilant.
- Every trader or investor must have a market entry/exit strategy to cut losses and maximise profits.